

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2014

The directors of the East African Portland Cement Company Limited are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2014.

Consolidated Statement of Comprehensive Income for the six months' period ended:

	31 Dec 2014 Sh' 000	31 Dec 2013 Sh' 000
Sales	4,127,869	4,567,292
Cost of Sales	(3,501,891)	(3,247,919)
Gross Profit	625,978	1,319,373
Operating Income	408,880	126,428
Finance and Selling Expenses	(1,208,074)	(1,260,462)
Profit from Operating Activities	(173,216)	185,339
Income	235,624	130,630
Losses	(186,849)	(144,939)
Profit Before Tax	(124,441)	171,030
Income Tax/(Charge)	56,594	12,430
Profit After Tax	(67,847)	183,460
Comprehensive Income	2,548	(838)
Profit After Tax	(65,299)	182,622
Per Share	(0.75)	2.03

Consolidated Statement of Financial Position

	31 Dec 2014 Sh' 000	30 June 2014 Sh' 000
Non-current assets		
Plant & equipment	7,552,053	7,591,940
Intangible and other non-current assets	904,514	711,238
Real property	2,225,046	2,225,046
Prepaid asset	1,711,265	1,834,377
Bank deposits	30,997	30,595
Non-current assets	12,423,875	12,393,196
Current assets		
Inventory	2,262,330	2,199,517
Other receivables	1,159,980	961,885
Cash equivalents	135,163	162,659
Current assets	3,557,473	3,324,061
Total assets	15,981,348	15,717,257
Equity and Liabilities		
Equity		
Reserves		
Retained	450,000	450,000
Share premium	648,000	648,000
Valuation reserve	1,877,536	1,884,722
Earnings	3,655,776	3,716,438
Foreign Currency Translation Reserve	8,063	5,515
Equity	6,639,375	6,704,675
Liabilities		
Current liabilities		
Trade payables	1,064,925	917,954
Tax liability	699,058	759,030
Provision liability	1,555,470	1,667,493
Lease under Lease	-	15,525
Bank Loan	1,802,610	2,140,291
Liabilities	3,467,063	3,532,793
Long-term Loan	530,448	1,387,145
Other payables	1,405,074	547,228
Other payables	2,984,388	1,577,916

Consolidated Statement of Cash Flows for the six months' ended:

	31 Dec 2014 Sh' 000	31 Dec 2013 Sh' 000
Cash flow Generated from Operations	(114,145)	222,653
Interest Paid	(147,559)	(157,510)
Interest Received	2,130	2,194
Taxation Paid	(1,363)	(230)
Cash Generated From Operating Activities	(260,937)	67,107
Net Cash Used in Investing Activities	(172,142)	(158,183)
Dividend Paid	-	-
Repayment of Lease obligation	(21,038)	(19,538)
Asset Financing Loan	69,097	220,794
Loan Repayment	(502,870)	(223,316)
Net Cash Used in Financing Activities	(454,811)	(22,060)
Net Decrease in Cash and Cash Equivalents	(885,342)	(113,136)
Cash and Cash Equivalents as at 1st July	(384,568)	(450,603)
Cash and Cash Equivalents as at 31 December	(1,269,910)	(563,739)

PERFORMANCE

The first six months to 31 December 2014 recorded a decline in sales volumes of 7%. This is due to a major maintenance shutdown on our packing and clinker production lines in the second quarter. Sales revenue declined by 8% compared to the same period in the prior year due to a price reduction of approximately 5% driven by market forces. Cost of sales increased by 8% mainly driven by cost of purchased clinker incurred during the plant maintenance shutdown in the second quarter of the year. Consequently, the gross profit margin declined to 15% from 29% in the same period last year. Administrative expenses reduced by 4% compared to the same period in the prior year. Arising from the above, a pretax loss of Kshs 124 million was incurred during the current period compared to a pretax profit of Kshs 171 million in the same period prior year. Interest expense was Kshs 186 million compared to Kshs 144 million last year due to additional funding during shutdown. The forex gain in the period was Kshs 233 million compared to a gain of Kshs 121 million in the same period last year. The forex gain was attributed to the continued strengthening of the shilling against the Japanese Yen.

FUTURE OUTLOOK

The Company has continued to implement its strategic plan and to position itself so as to compete effectively and regain its market share in the industry. Despite the growing competitive environment, there are opportunities for growth to meet the increasing local and regional demand for cement. A successful plant refurbishment was completed in the second quarter of this year and a new product line of precast products is expected in place in the second half. Installation of a new cement packing line is underway and should be commissioned in the second half of the current year. These initiatives will bolster capacity utilisation through increased clinker and cement production and dispatch.

Price pressure is expected to persist in the near future with industry installed capacity exceeding cement market demand. Production efficiency and cost control will remain at the heart of the Company's strategy and this should help respond to competition by availing our brand at a price that is consistent with prevailing market conditions.

DIVIDEND

The directors do not recommend payment of an interim dividend.

BY ORDER OF THE BOARD

SHEILA KAHUKI
COMPANY SECRETARY